THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

CAA-187 (PB) /2017

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of:

SCHEME OF AMALGAMATION

OF

Kaizen Life Sciences Private Limited

(Transferor Company No. 1)

AND

Sanchit Consultants Private Limited

(Transferor Company No.2)

WITH

Bullish Trading Private Limited

(Transferee Company)

Judgment delivered on: 17.07.2019

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

Mr. S. K. MOHAPATRA, Hon'ble Member (T)

Present:

For the Petitioner: Mr. Rajeev Goel, Advocate
Mr. Kartikeya Goel, Advocate

For the RD (NR) : Ms. Sonam Sharma, Advocate

For the OL: Ms. Swati Koshal, Advocate

For the ITD: Mr. Lakshmi Gurung, St. Counsel
Mr. Shubham Pandey, Advocate
Ms. Easha Kadian, Advocate

ORDER

S. K. Mohapatra, Member

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of approval of the Scheme of Amalgamation of the transferor companies with the transferee company. Copy of the said Scheme of Amalgamation (hereinafter referred as "Scheme") has been placed on record.

2. The "Transferor Company No.1", Kaizen Life Sciences Private Limited was incorporated on 02.05.2008 under the provisions of Companies Act, 1956, having its registered office at GF-10, Gourmet Hub, Plot No.1, BG-I & BG-II, Local Shopping Centre, Paschim Puri, New Delhi-110063.

3. The "Transferor Company No.2", Sanchit Consultants Private Limited was incorporated on 06.05.1987 under the provisions of Companies Act, 1956, having its registered office at G-029, Gourmet

Hub, Plot No.1, BG-I & BG-II, Local Shopping Centre, Paschim Puri, New Delhi-110063.

4. The "Transferee Company", Bullish Trading Private Limited was incorporated on 24.02.2015. The transferee company has its registered office situated at F-78/1, 2nd Floor, Street No. 3A, Virender Nagar, New Delhi-110058.

5. A perusal of the petition discloses that initially the First Motion joint application seeking directions for dispensing with the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the petitioner companies was filed before this Bench vide Company Application (CAA) No. 80/(PB) /2017 and based on such joint application moved under Sections 230 to 232 of the Companies Act, 2013, the meetings of the Shareholders, Secured Creditors and Unsecured Creditors of all the transferor companies as well as transferee company were dispensed with vide order dated 08.08.2017.

6. Thereafter, on 23.08.2017 the Petitioners were directed to carry out publication in the newspapers "Business Standard" (English, Delhi edition) and

"Business Standard " (Hindi, Delhi edition). In addition to the public notice, notices were directed to be served on the Regional Director (Northern Region), Official Liquidator, Registrar of Companies, NCT of Delhi and Haryana, the Income Tax Department and to the other relevant sectoral regulators.

7. It is seen from the records that the Petitioners have filed an affidavit dated 25.09.2017 affirming compliance of the order passed by the Tribunal dated 23.08.2017. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 19.09.2017 as well as in 'Business Standard' Hindi edition on 19.09.2017 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region, Official Liquidator and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been placed on record.

8. The Regional Director has filed its representation on 09.10.2017 in which it is submitted that as per the report of Registrar of Companies, the petitioner companies have filed their statutory returns and no prosecution has been filed, inspection or investigation has been conducted in respect of the petitioner companies.

9. The Department of Income Tax has also filed its status reports and submitted its no objection in respect of transferor company no.1 and transferee company.

10. In respect of Transferor Company No.2 objection has been raised by the Department of Income Tax that certain investigations are pending against the transferor company no.2 and notices under Section 147/148 of the Income Tax Act, 1961 have been issued against the transferor company no.2 and re-assessment proceedings are pending for the assessment years 2017-18 and 2016-17.

11. In respect of aforesaid objection raised by the Department of Income Tax, the authorized representative of transferee company has filed an affidavit dated 20.05.2019 and undertook as follows:

"***a.*** *That pursuant to the sanction of the Scheme of Amalgamation the Hon'ble tribunal, the Transferee Company and its directors will cooperate with the Income Tax Department in relation to the on-going re-assessment proceedings initiated by the Department under Section 147 & 148 of the Income Tax Act, 1961 for AY 2016-17 and AY 2017-18 with respect to the Transferor Company No. 2 or any other on-going / subsequent proceeding or investigation which may be initiated by the Income Tax Department against the Transferor Companies No. 1&2. the Transferee Company and its directors will provide all necessary information that may be sought by the Income Tax Department and take part in the proceedings initiated by the Department, as such proceeding / investigation will be enforced against the Transferee Company after sanctioning of the Scheme.*

b. *That the Transferee Company and/or its directors further undertake to not raise any objection on the ground that the notices were issued by the Income Tax Department to the Transferor Companies and/or that the Transferor Companies have been dissolved or any such other grounds, pursuant to the sanction of Scheme of Amalgamation. The Transferee Company will join the proceedings in the Income Tax office on behalf*

of the Transferor Companies and provide all the information to the Income Tax Department with regards to the Transferor Companies and their dealings.

c. *That it may be noted that sanction of the Scheme of Amalgamation will not adversely affect any proceedings that may be initiated by the Income Tax Department or any demand that may be raised against any of the Transferor Companies. The same may be fully and effectively enforced against the Transferee Company.*

d. *That it is pertinent to mention that the Scheme of Amalgamation provides that all the assets & liabilities including statutory liabilities & Income Tax, etc., of the Transferor Companies No. 1. & 2 will vest in the Transferee Company. Any litigation against the Transferor Companies, if any, will not be adversely affected by sanctioning of the Scheme, as such proceeding will be continued against the Transferee Company after sanctioning of the Scheme.*

e. *That it may, kindly be noted that there is no pending Income Tax demand against any, of the Companies as on the date of this affidavit. Any liability which may arise in future against any of the petitioner companies, will be paid in accordance with the provisions of the Income Tax*

Act. Further, as mentioned above, the Scheme will not adversely affect the right of the recovery of the Income Tax Department or any enquiry / investigation being carried out by Income Tax Department against any of the Petitioner Companies.

f. *That it is pertinent to note that post Scheme, the Transferee Company will have much wider net worth and as such the interest of the Income Tax Department are not adversely affected by the sanctioning of the scheme.*

g. *That we have no objection if the Hon'ble Tribunal grants specific liberty to the Income Tax Department to take out appropriate proceedings for recovery of any Income Tax dues from the Transferor or Transferee Companies or any other person who is liable for payment of such dues."*

12. In the light of the aforementioned undertaking filed by the transferee company it is clarified that the transferee company shall be bound by the its undertaking given on affidavit as above. It is further clarified that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues, including imposition of penalties etc. from all the petitioner companies as provided in law.

13. The Official Liquidator has filed its report wherein no material objection has been raised by them in relation to the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

14. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

15. Certificates of respective Statutory auditors of all the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

16. The shareholders of the applicant companies are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

17. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited (1995) 5 SCC 491 the three Judges Bench of Hon'ble Supreme Court held that:

> *"A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process."*

18. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by statutory provisions and the Rules.

19. The petitioner companies have filed an affidavit on 03.10.2017 confirming that no objection has been received against the Scheme from any party or from any person interested in the Scheme in any manner.

20. It has also been affirmed in the petition that Scheme is in the interest of Transferor companies and the transferee company including their shareholders, creditors, employees and all concerned.

21. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the Petitioner companies to the proposed Scheme, and the report filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, official liquidator and the report filed by Income Tax Department, there appears to be no impediment in sanctioning the present Scheme.

22. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

23. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

24. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

25. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

26. **THIS TRIBUNAL DO FURTHER ORDER**

i. *That both the Transferor Companies shall stand dissolved without following the process of winding-up; and*

ii. *That all the property, rights and powers of both the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company; and*

iii. *That all the liabilities and duties of both the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*

iv. *That all proceedings now pending by or against both the Transferor Companies, be continued by or against the transferee company; and*

v. *That all the employees of both the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Company on the said date.*

vi. *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered both the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies registered with him on the file kept by him in relation to the Transferee Company and the files relating to all the petitioner companies shall be consolidated accordingly; and*

vii. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms. Let copy of the order be served to the parties.

Sd/-

(M.M. KUMAR)

PRESIDENT

Sd/-

(S. K. MOHAPATRA)

MEMBER (T)

Deepak Kumar